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Operational Due Diligence Review
Acme Cloud Solutions, Inc.

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Date: January 25, 2025

1. Technology Infrastructure Assessment

The Company's platform is built on a modern cloud-native architecture deployed on AWS. Key infrastructure observations:

Component	Technology	Assessment	Risk Level
Cloud Provider	AWS (us-east-1, us-west-2)	Multi-AZ; no multi-cloud	Medium
Application	Python/FastAPI + React	Modern; well-documented	Low
Database	PostgreSQL (RDS)	Managed; automated backups	Low
Search	Elasticsearch	Self-managed cluster	Medium
Caching	Redis (ElastiCache)	Managed; standard config	Low
CDN	CloudFront	Global distribution	Low
CI/CD	GitHub Actions	Automated; 95% test coverage	Low
Monitoring	Datadog	Full observability stack	Low
Data Pipeline	Apache Airflow	Self-managed; 3 engineers	Medium

Technical Debt Assessment: Overall technical debt is estimated at 6-8 months of engineering effort. Primary areas: (1) Elasticsearch cluster requires migration to OpenSearch or managed service ($180K est.), (2) Legacy API endpoints (v1) still serve 12% of traffic and need deprecation, (3) Frontend codebase has 14% of components using deprecated React patterns.

2. Organizational Structure

Department	Headcount	% of Total	Avg Tenure	Open Roles	Attrition (TTM)
Engineering	98	31%	2.8 yrs	12	15%
Sales	68	21%	1.9 yrs	8	22%
Customer Success	52	16%	2.4 yrs	5	12%
Product	28	9%	2.6 yrs	3	8%
Marketing	22	7%	2.1 yrs	2	18%
G&A (HR/Finance/Legal)	32	10%	3.1 yrs	2	6%
Operations/IT	20	6%	2.5 yrs	1	10%
Total	320	100%	2.5 yrs	33	14%

Key Finding: Sales attrition of 22% is significantly above industry benchmark of 15% for SaaS companies. Exit interviews indicate compensation (40%), career advancement (30%), and territory restructuring (20%) as primary drivers. VP Sales has implemented a new comp plan effective Q1 2025 with higher base/variable split (60/40 vs. previous 50/50).

3. Vendor & Supplier Dependencies

Critical vendor relationships and concentration risk:

Vendor	Service	Annual Spend	Contract Exp	Switching Cost	Risk
Amazon Web Services	Infrastructure	$3.4M	Dec 2026	Very High	High
Salesforce	CRM	$320K	Mar 2025	Medium	Medium
Stripe	Payments	$210K	Month-to-month	Low	Low
Twilio/SendGrid	Communications	$145K	Annual	Low	Low
Datadog	Monitoring	$180K	Annual	Medium	Low
ZoomInfo	Sales Intelligence	$95K	Annual	Low	Low

AWS Concentration Risk: 82% of hosting costs are with AWS, with no multi-cloud capability. A service disruption in us-east-1 (primary region) would impact all customers until failover to us-west-2 completes (estimated RTO: 4 hours). Management has budgeted $400K for a multi-cloud proof-of-concept with GCP in FY2025.

4. Operational KPIs & SLAs

KPI	SLA Target	FY2023 Actual	FY2024 Actual	Trend
Platform Uptime	99.95%	99.93%	99.97%	Improving
API Response Time (p95)	<200ms	185ms	162ms	Improving
Support Ticket Resolution	<4 hours (P1)	3.2 hrs	2.8 hrs	Improving
Customer Onboarding Time	<90 days	95 days	82 days	Improving
Feature Release Cadence	Bi-weekly	22 releases	26 releases	Stable
Bug Escape Rate	<2%	2.4%	1.8%	Improving
NPS Score	>50	68	72	Improving
CSAT (Support)	>90%	88%	92%	Improving

5. Scalability Assessment

The platform's current architecture can support approximately 2x current load (900 customers, $84M ARR) before requiring significant infrastructure re-architecture. Key bottlenecks:

- Database: Current RDS instance (db.r5.4xlarge) at 45% CPU utilization during peak. Horizontal read replicas can extend to ~3x capacity.
- Search: Elasticsearch cluster showing strain at current query volumes. Migration to OpenSearch Serverless recommended by FY2026.
- Application: Stateless microservices auto-scale effectively. No concerns.
- Data Pipeline: Airflow DAGs process 2.3TB/day. Current limit is ~4TB/day before requiring cluster expansion ($60K/yr incremental).
- Estimated infrastructure investment needed for $100M ARR: $1.8M one-time + $500K/yr incremental operating costs.